

Mandate Breach Root-Cause Investigation – Compliance Investigation Procedure

Sample enterprise SOP for workflow-extraction testing

1. Purpose and Scope

This procedure describes the investigation performed after a portfolio monitoring control identifies a potential mandate breach. The objective is to establish whether the alert represents a genuine breach, understand the circumstances that produced the exposure, identify relevant approvals or exceptions and prepare a documented conclusion for compliance review.

2. Case Initiation

A new investigation case is opened when an exposure exception is received. The analyst records the portfolio, security or issuer involved, the reported exposure, the applicable threshold and the time at which the alert was generated. The initial alert is treated as an investigation trigger rather than as a final determination of a breach.

3. Mandate Retrieval

The analyst retrieves the investment mandate governing the portfolio and identifies the restriction associated with the alert. Relevant language may be contained in narrative provisions, schedules, definitions or supporting documents. The analyst reviews the restriction in context because a numerical alert may not capture every qualification that affects how the mandate should be applied.

4. Position Evidence

The analyst obtains the holdings snapshot used to generate the alert and, where necessary, retrieves intraday position information surrounding the reported breach. The purpose is to establish the portfolio's exposure at relevant points in time and determine whether the reported value accurately reflects the position during the period under investigation.

5. Transaction History

Historical transactions affecting the relevant security or issuer are reviewed. The analyst considers purchases, sales, transfers and other recorded activity to understand whether the exposure changed because of an active portfolio decision or another event. Transaction timestamps are compared with the timing of the exposure change where this information is available.

6. Exception and Waiver Search

The investigation also checks for pre-approved exceptions, temporary waivers or other documented permissions that may have applied at the time of the alert. These records may be maintained separately from the portfolio data and may be stored in documents or case-management records. The analyst verifies the validity and effective period of any approval identified.

7. Corporate Actions and Passive Movement

The analyst considers whether a corporate action, market movement or another event could have changed the exposure without a corresponding active investment decision. For example, a change in market value may cause an exposure percentage to move above a threshold even though no new position was purchased. The analyst compares the available evidence before reaching a conclusion.

8. Root-Cause Assessment

The evidence is synthesized to determine the most plausible cause of the exception. Possible classifications include active investment decision, passive market drift, corporate action, operational issue or another documented circumstance. Where evidence is conflicting or incomplete, the analyst records the uncertainty and follows the applicable escalation procedure rather than treating an assumption as fact.

9. Genuine Breach or False Positive

After considering the mandate language, position data, transaction history and applicable approvals, the analyst classifies the alert. A genuine breach is recorded where the evidence supports that the mandate restriction was actually violated. A false positive is recorded where the alert resulted from an allowable circumstance, data issue or other condition that means the apparent breach does not represent a reportable violation.

10. Compliance Write-Up

The analyst prepares a written investigation summary. The document describes the original alert, relevant mandate provisions, evidence reviewed, root-cause assessment, applicable exceptions or approvals, final classification and recommended action. The write-up is intended to allow another reviewer to understand how the conclusion was reached without reconstructing the entire investigation from source systems.

11. Escalation and Human Oversight

Material cases, uncertain interpretations and situations involving incomplete evidence are escalated to the appropriate compliance or investment oversight personnel. The final regulatory or compliance determination remains subject to the firm's established governance process. Investigation support does not replace the responsibility of authorized personnel to approve sensitive conclusions.